

Continuing Problem

Chapter 2 - Instruction #2

The transactions completed by PS Music during June 20Y5. The following transactions were completed during July, the second month of the business's operations:

Analyze and journalize each transaction in the two-column journal below. Include Posting References, using the account numbers in your spreadsheet.

If an amount box does not require an entry, leave it blank.

July 1: Peyton Smith made an additional investment in PS Music in exchange for common stock by depositing \$5,000 in PS Music's checking account.

Account		Post. Ref.	Debit	Credit
Cash	✓	✓		
		11	5,000	
Common Stock	✓	✓		
		31		5,000

July 1: Instead of continuing to share office space with a local real estate agency, Peyton decided to rent office space near a local music store. Paid rent for July, \$1,750.

Account		Post. Ref.	Debit	Credit
Office Rent Expense	✓	✓		
		51	1,750	
Cash	✓	✓		
		11		1,750

July 1: Paid a premium of \$2,700 for a comprehensive insurance policy covering liability, theft, and fire. The policy covers a one-year period.

Account		Post. Ref.	Debit	Credit
Prepaid Insurance	✓	✓		
		15	2,700	
Cash	✓	✓		
		11		2,700

July 2: Received \$1,000 on account.

Account		Post. Ref.	Debit	Credit
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Cash	✓	✓	11	1,000	✓
Accounts Receivable	✓	✓	12	1,000	✓

July 3: On behalf of PS Music, Peyton signed a contract with a local radio station, KXMD, to provide guest spots for the next three months. The contract requires PS Music to provide a guest disc jockey for 80 hours per month for a monthly fee of \$3,600. Any additional hours beyond 80 will be billed to KXMD at \$40 per hour. In accordance with the contract, Peyton received \$7,200 from KXMD as an advance payment for the first two months.

Account		Post.	Ref.	Debit	Credit
Cash	✓	✓	11	7,200	✓
Unearned Revenue	✓	✓	23		7,200

July 3: Paid \$250 on account.

Account		Post.	Ref.	Debit	Credit
Accounts Payable	✓	✓	21	250	✓
Cash	✓	✓	11		250

July 4: Paid an attorney \$900 for reviewing the July 3 contract with KXMD. (Record as Miscellaneous Expense.)

Account		Post.	Ref.	Debit	Credit
Miscellaneous Expense	✓	✓	59	900	✓
Cash	✓	✓	11		900

July 5: Purchased office equipment on account from Office Mart, \$7,500.

Account		Post.	Ref.	Debit	Credit
Office Equipment	✓	✓	17	7,500	✓
Accounts Payable	✓	✓	21		7,500

July 8: Paid for a newspaper advertisement, \$200.

Account		Post.	Ref.	Debit	Credit
Advertising Expense	✓		✓	✓	✓
		55		200	
Cash	✓		✓	✓	✓
		11			200

July 11: Received \$1,000 for serving as a disc jockey for a party.

Account		Post.	Ref.	Debit	Credit
Cash	✓		✓		✓
		11		1,000	
Fees Earned	✓		✓	✓	✓
		41			1,000

July 13: Paid \$700 to a local audio electronics store for rental of digital recording equipment.

Account		Post.	Ref.	Debit	Credit
Equipment Rent Expense	✓		✓	✓	✓
		52		700	
Cash	✓		✓	✓	✓
		11			700

July 14: Paid wages of \$1,200 to receptionist and part-time assistant.

Account		Post.	Ref.	Debit	Credit
Wages Expense	✓		✓	✓	✓
		50		1,200	
Cash	✓		✓	✓	✓
		11			1,200

July 16: Received \$2,000 for serving as a disc jockey for a wedding reception.

Account		Post.	Ref.	Debit	Credit
Cash	✓		✓		✓
		11		2,000	
Fees Earned	✓		✓	✓	✓
		41			2,000

July 18: Purchased supplies on account, \$850.

Account		Post.	Ref.	Debit	Credit
Supplies ✓	✓	✓		✓	✓
		14		850	
Accounts Payable ✓	✓	✓		✓	✓
		21			850

July 21: Paid \$620 to Upload Music for use of its current music demos in making various music sets.

Account		Post.	Ref.	Debit	Credit
Music Expense ✓	✓	✓		✓	✓
		54		620	
Cash ✓	✓	✓		✓	✓
		11			620

July 22: Paid \$800 to a local radio station to advertise the services of PS Music twice daily for the remainder of July.

Account		Post.	Ref.	Debit	Credit
Advertising Expense ✓	✓	✓		✓	✓
		55		800	
Cash ✓	✓	✓		✓	✓
		11			800

July 23: Served as disc jockey for a party for \$2,500. Received \$750, with the remainder due August 4, 20Y5.

Account		Post.	Ref.	Debit	Credit
Cash ✓	✓	✓		✓	✓
		11		750	
Accounts Receivable ✓	✓	✓		✓	✓
		12		1,750	
Fees Earned ✓	✓	✓		✓	✓
		41			2,500

July 27: Paid electric bill, \$915.

Account		Post.	Ref.	Debit	Credit
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Utilities Expense ✓	✓	53	✓	915	✓
Cash ✓	✓	11	✓	915	✓

July 28: Paid wages of \$1,200 to receptionist and part-time assistant.

Account		Post.	Ref.	Debit	Credit
Wages Expense ✓	✓	50	✓	1,200	✓
Cash ✓	✓	11	✓	1,200	✓

July 29: Paid miscellaneous expenses, \$540.

Account		Post.	Ref.	Debit	Credit
Miscellaneous Expense ✓	✓	59	✓	540	✓
Cash ✓	✓	11	✓	540	✓

July 30: Served as a disc jockey for a charity ball for \$1,500. Received \$500, with the remainder due on August 9, 20Y5.

Account		Post.	Ref.	Debit	Credit
Cash ✓	✓	11	✓	500	✓
Accounts Receivable ✓	✓	12	✓	1,000	✓
Fees Earned ✓	✓	41	✓	1,500	✓

July 31: Received \$3,000 for serving as a disc jockey for a party.

Account		Post.	Ref.	Debit	Credit
Cash ✓	✓	11	✓	3,000	✓
Fees Earned ✓	✓	41	✓	3,000	✓

July 31: Paid \$1,400 royalties (music expense) to National Music Clearing for use of various artists' music during July.

Account		Post.	Ref.	Debit	Credit
Music Expense	✓	✓		✓	✓
		54		1,400	
Cash	✓	✓		✓	✓
		11			1,400

July 31: Paid dividends, of \$1,250.

Account		Post.	Ref.	Debit	Credit
Dividends	✓	✓		✓	✓
		33		1,250	
Cash	✓	✓		✓	✓
		11			1,250